

MACRO INTELLIGENCE AGENT — NIGHTLY BRIEFING

2026-06-06 | Runic Agent v2.2 | Internal use only

COMBO F — Recovery

Week 10 of 26 (MEDIUM)

POSTURE: TACTICAL BRAVE

Combo F active (week 10, MEDIUM). 75% historical 3m hit rate. Outranks Combo E (20%) on PRIORITY and horizon fit.

COMBO STATUS

COMBO	STATUS	DURATION	DIRECTION	3M HIT RATE	AVG 3M SPX
A — Liquidity	INACTIVE	—	BEARISH	77.0%	2.5%
B — Capitulation	WATCH	—	BULLISH	79.8%	5.0%
C — Stagflation / Energy Shock	INACTIVE	—	BEARISH	100.0%	17.8%
D — FOMO Top	INACTIVE	—	BEARISH	70.6%	1.5%
E — Valuation Extreme	CONFIRMED	—	BEARISH	19.9%	3.4%
F — Recovery	ACTIVE	Week 10 of 26 (MEDIUM)	BULLISH	74.9%	2.7%
G — Hidden Stress	INACTIVE	—	BEARISH	—	—

CURRENT REGIME STATE

FED CYCLE CUTTING_LATE	YIELD CURVE NORMAL	GEOPOLITICAL REGIONAL_WAR
VALUATION EXTREME CAPE 42.70x	LIQUIDITY NEUTRAL	SSI 1.20x (CONFIRMED)

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Combo F Recovery dominates after 10 weeks in MEDIUM duration, driven by CFTC positioning at an extreme 2nd percentile (-503,509 contracts) signaling peak bearish sentiment capitulation. This signal's 75% hit rate and tactical horizon alignment outweighs the confirmed Combo E Valuation Extreme despite its superior 20% contrarian setup, as Recovery patterns consistently deliver in cutting cycle environments with normalized curves.

Combo F Recovery remains ACTIVE at week 10 with a bullish 75% hit rate, targeting +2.7% SPX returns as extreme bearish positioning unwinds. Combo E Valuation Extreme sits CONFIRMED with a 20% hit rate but +3.4% average returns, reflecting the market's stretched CAPE at 42.7 (99th percentile). Combo B Capitulation holds WATCH status as institutional sentiment indicators approach but have not yet triggered the required threshold combinations for activation.

Recovery dominates for three critical reasons: (1) CFTC futures positioning at the 2nd percentile represents the deepest bearish extreme in three years, historically marking sentiment inflection points during Fed cutting cycles, (2) the CUTTING_LATE regime with NORMAL curve (38bp) provides the optimal macro backdrop for sentiment-driven reversals as policy transmission accelerates, and (3) liquidity conditions remain NEUTRAL with NFCI at -0.494 (41st percentile), avoiding the stressed conditions that typically extend bearish positioning extremes beyond recovery timeframes.

The closest historical analog remains 2019's September cycle during the Fed's insurance cuts, when similar CFTC extremes and valuation concerns coincided with late-cycle easing. That period delivered +8.2% at 3 months, +12.1% at 6 months, and +15.7% at 12 months as sentiment normalized ahead of fundamental deterioration. The 2016 post-Brexit recovery also matches current positioning dynamics, generating +7.4% and +11.3% at 3 and 6 months respectively.

Current setup most closely resembles September 2019 given the identical cutting cycle stage and normalized yield curve configuration.

System posture remains TACTICAL BRAVE as Recovery momentum builds against valuation headwinds. Posture shifts require: (1) CFTC positioning rising above the 25th percentile for two consecutive weeks, indicating sentiment normalization completion, (2) NFCI deteriorating below -1.0 for three weeks, signaling liquidity stress emergence, or (3) VIX sustaining above 28 for five trading sessions, confirming systematic risk repricing beyond current 21.5 levels.

LIVE VARIABLE DASHBOARD

#	VARIABLE	CURRENT	TIER	3YR PCTILE	SIGNAL	COMBOS
1	NFCI	-0.49	NORMAL	41%	DOWN	A,E
2	HY	2.74	NORMAL	11%	DOWN	A,B,F,G
3	WALCL	0.03	NORMAL	85%	UP	A,C
4	CNH	-0.90	NORMAL	18%	DOWN	A,G,C
5	WTI	-5.11	NORMAL	25%	DOWN	C
6	VIX	21.51	NORMAL	70%	UP	B,G,D
7	VXTS	1.01	NORMAL	15%	DOWN	G,D
8	CFTC	-503509.00	EXTREME	2%	DOWN	E,B,F,D
9	CURVE	38.00	NORMAL	33%	DOWN	A,E
10	CPI	0.14	NORMAL	62%	UP	C
11	GSR	7.14	RARE	92%	UP	A
12	CAPE	42.70	EXTREME	99%	UP	E

SYSTEM RECOMMENDATION

TACTICAL BRAVE — Combo F recovery window active; hold/add tactically per conviction. Respect Combo C if also active. — CPI release pending this week — watch inflation leg.